Module V

Open ended module

Unit 23

1. **Discussion based on different market structures prevailing in the world**
2. **Case study of decision making by firms**
3. **2 Seminar on the influence of economic policies on market transactions**

I. Discussion on Different Market Structures in the World.

Step 1: Select a Market Structure.

The main market structures studied in microeconomics are: Perfect Competition, Monopoly, Monopolistic Competition and Oligopoly. Out of these market structures you have to select one which is familiar or convenient to each of you.

Step 2: Identification of Real-World Examples.

Examples may include:

a) Perfect Competition example include Agricultural markets such as rice, wheat, or vegetable markets where many farmers sell similar products.

b) Monopoly like Public utility services such as electricity boards or railways in certain regions where a single provider dominates the market.

c) Monopolistic Competition like Restaurants, clothing brands, and beauty product companies where many firms sell differentiated products.

d) Fourth Oligopoly like Automobile, airline, or telecom industries where a few large firms control most of the market.

Step 3: Analysing the Market Structure.

The discussion should include

1. Number of Firms in the Market: Explain how many firms operate in the market and whether the market is dominated by one firm, a few firms, or many firms.

2. Nature of the Product: Describe whether the product is homogeneous (identical) or differentiated. For example, agricultural products are usually homogeneous, while clothing brands offer differentiated products.

3. Entry and Exit Conditions: Discuss whether new firms can easily enter or exit the market. Some markets have high barriers to entry, such as large capital requirements, government regulations, or patents.

4. Pricing Power of Firms: Explain whether firms can control the price or whether they must accept the market price. For example, firms in perfect competition are price takers, while monopolies have significant price-setting power.

5. Level of Competition: Analyse how firms compete with each other. Competition may occur through price, advertising, product quality, or innovation.

6. Real-World Evidence: Provide specific examples of companies, industries, or markets that illustrate the chosen market structure. Use data, news reports, or business information if available.

Step 4: Prepare Discussion Notes.

The notes should be clearly organized and include the Introduction to the selected market structure, description of the real-world industry or firm, analysis based on economic concepts, examples and supporting information and brief conclusion.

Should ensure that the notes are clear, concise, and well-structured.

II) Case Study of Decision Making by Firms.

Step 1: Selection of the firm

a) Select a real company or business to study. The firm can be a local business, a national company, or an international corporation.

Examples of firms that you may consider include:

A local restaurant or café, which can provide insights into pricing, menu decisions, and customer service strategies. A textile or garment company, which may involve decisions about production, labor, and export markets.

A technology firm, which often focuses on innovation, product development, and competitive strategies.

A retail business, such as a supermarket or clothing store, where decisions about pricing, promotions, and product variety are important.

Step 2: Collection of Information

Gather relevant information about the company and its operations. Reliable information can be collected from various sources, including: Company websites, which often provide details about the firm's products, services, mission, and business strategies.

Step 3: Identifying Key Decisions Taken by the Firm

Identify and analyse the major decisions taken by the firm. Some important decisions may examine include:

Pricing decisions: which means How the firm sets the price of its products or services and whether pricing strategies change according to market demand or competition.

Production decisions: How much to produce, what technology to use, and how resources such as labor and capital are allocated.

Expansion or investment decisions: Whether the firm plans to open new branches, invest in new machinery, or enter new markets.

Cost management: How the firm controls costs through efficient use of resources, improved technology, or better management practices.

Step 4: Apply Economic Concepts.

For example:

Profit maximization: Firms generally aim to maximize profits by choosing the optimal level of output and price.

Cost minimization: Firms try to reduce production costs through efficient use of inputs and improved technology.

Demand and supply: Changes in consumer demand or market supply may influence the firm's pricing and production decisions.

Market competition: The level of competition in the market may affect how the firm sets prices, advertises products, and differentiates itself from competitors.

Step 5: Preparation of Case Study Report.

Prepare a written case study report of about 3–5 pages.

It should include the

1. Introduction of the Firm.

2. Description of the Market

3. Important Decisions Taken by the Firm

4. Economic Explanation of the Decisions

5 Conclusion

Step 6: Presentation.

III) Seminar on the Influence of Economic Policies on Market Transactions

Economic policies can affect prices, production, employment, and the behaviour of both firms and consumers. Through this seminar, students will analyse how policy decisions made by governments shape market transactions and economic outcomes. The activity will also help students improve their research, analytical, and presentation skills.

Step 1: Selection of a Policy Topic.

Example:

Taxation policies – for example, how taxes on goods and services influence prices and consumer demand.

Subsidies – government financial support provided to certain industries or products, such as agriculture or renewable energy.

Price controls – policies where the government sets maximum or minimum prices for certain goods, such as rent control or minimum support prices for crops.

Minimum wage policies – laws that set the lowest wage employers must pay workers.

Trade policies – tariffs, import restrictions, and export incentives that influence international trade.

Competition policies – government regulations designed to prevent monopolies and promote fair competition in markets.

Step 2: Understand the Policy

Explain: The purpose of the policy: Why the government introduced it and what economic problem it aims to address.

How the policy affects firms and consumers: For example, whether it increases costs for producers or reduces prices for consumers.

Advantages and disadvantages of the policy: Students should critically evaluate both the positive and negative effects of the policy

Step 3: Analyse Market Impact.

May include:

Influence on prices: Whether the policy increases or decreases market prices.

Effects on supply and demand: How producers and consumers respond to the policy.

Impact on producers and consumers: Whether the policy benefits or disadvantages particular groups.

Possible unintended consequences: Some policies may create unexpected outcomes, such as shortages, surpluses, or black markets.

Step 4: Preparation of the report.

a) Introduction to the policy

b) Explanation of the policy and its objectives

c) Analysis of its effects on market transactions

d) Real-world examples or evidence

e) Conclusion summarizing the key findings.

Step 5: Presentation